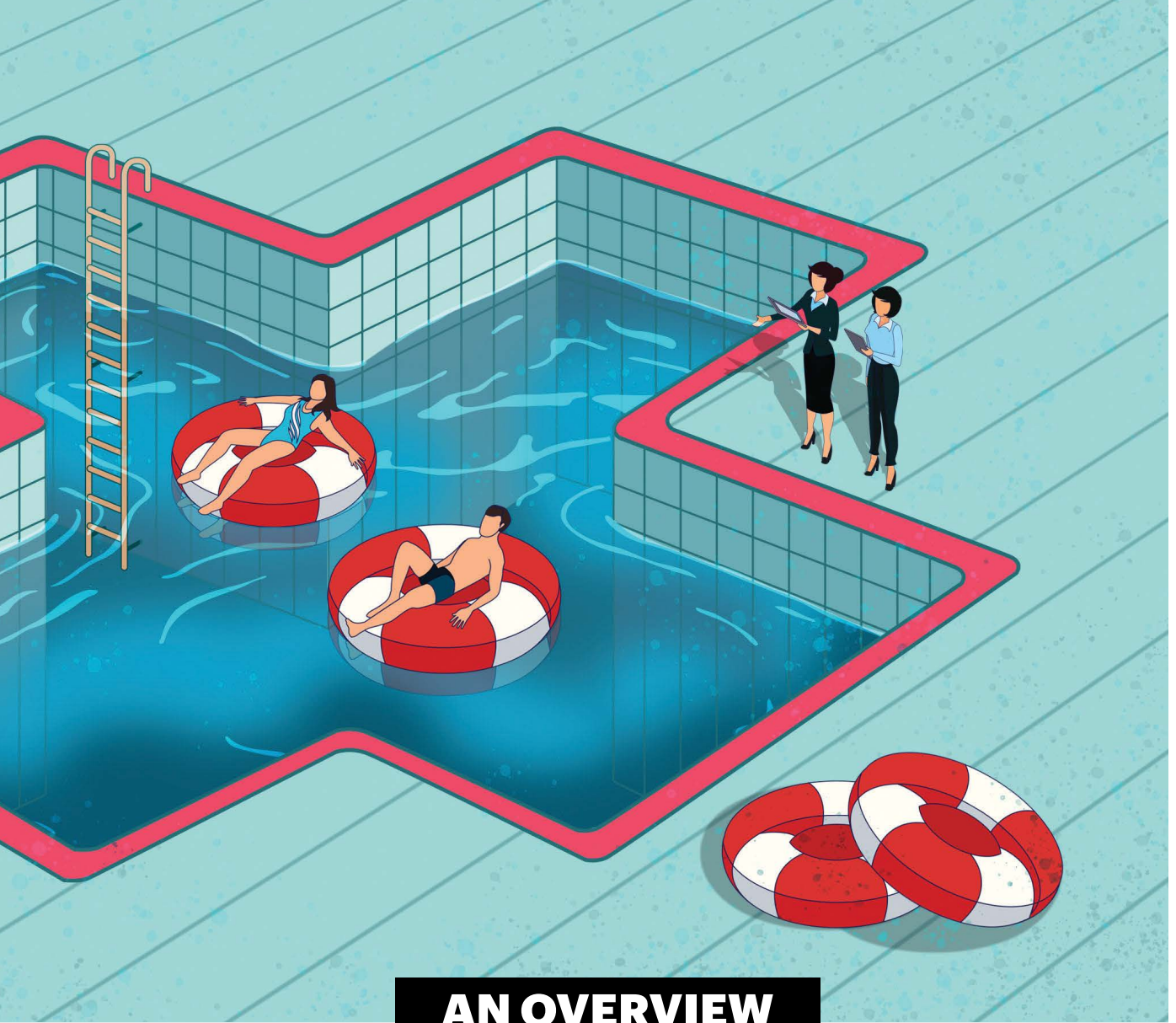




AN OVERVIEW

Gross written premiums of the general insurance industry have risen from ₹2.30 lakh crore in 2021 to ₹3.49 lakh crore in 2025

Gross written premiums of the general insurance industry are projected to touch ₹5.4 lakh crore by 2030

Motor and health insurance together accounted for 72.6% general insurance premiums in 2025

Personal accident and health accounted for the largest share of general insurance premiums at 40.9% in 2025, compared with 35.7% in 2021

healthcare. Over the years, medical inflation has consistently outpaced general inflation, driven by advances in medical technology, specialised treatments, rising hospitalisation costs, and greater utilisation of healthcare services. Insurers have to price products in a manner that reflects these realities while ensuring long-term sustain-

ability,” says Udayan Joshi, chief operating officer, SBI General Insurance.

In a big step, the government removed the Goods and Services Tax on individual life and health insurance effective September 22, 2025, from 18%. This has brought some relief but not addressed the issue of steep medical inflation.

Retail inflation has been 4-5% while medical inflation has been in double digits. According to Aon plc, employee medical plan costs in India are expected to rise 11.5% in 2026, lower than the 13% in 2025, but well above the global trend rate of 9.8%.

“Premiums have to mimic hospitalisation costs because,